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# Listening beyond the self: How organizations create direct involvement

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## 3 Listening beyond the self: How organizations create 4 direct involvement

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8 **Abstract** A two-year ethnographic study examines how two U.S. investment banks  
9 managed bankers' uncertainty differently and achieved distinct forms of participant  
10 transformation, including listening outcomes. People Bank reduced uncertainty by  
11 conveying abstract concepts. Socialized bankers exhibited a preferential orientation toward  
12 abstractions, including their own identities, and often failed to listen to and use concrete  
13 cues for action. To highlight situational uniqueness, Organization Bank amplified  
14 uncertainty. Since situational demands thus exceeded what the bankers knew and appeared  
15 too complex to be forced into pre-existing categories and scripts, people could not resort to  
16 abstractions. Over time, bankers' initial preoccupation with abstractions was cleared away,  
17 enabling them to more effectively listen and use situational cues. We develop the notion of  
18 direct involvement to explain this transformation away from self-involvement and toward  
19 heightened situational sensitivity.

20  
21 **Keywords** Listening · Identity · Uncertainty · Cognition · Transformation  
22

## 23 Introduction

24 Good listeners must do some of what L. Waks (in preparation) calls "apophatic" listening,  
25 opening the self to the other and holding one's own categories in abeyance. If a listener  
26 reacts to another by immediately categorizing the experience and the information using  
27 pre-existing categories, it is impossible to learn something genuinely new. In this article we  
28 describe our own version of apophatic listening, which we have called "direct  
29 involvement" (Michel and Wortham forthcoming), and we describe how one investment  
30 bank socialized new members into being more directly involved and less self-involved. We

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present brief illustrations from these data, although this short article cannot present an empirically compelling case.

Working and learning are traditionally structured in people-centric ways. This approach attends closely to people's existing knowledge and abilities, and assumes that people only work and learn effectively when the demands placed on them are close to their abilities. For example, organizations typically structure roles such that they are associated with clear goals, standards, and responsibilities. Role occupants are systematically selected and prepared accordingly, often by advancing them gradually to more central roles. Basic principles and techniques of learning—such as keeping the learner in a zone of proximal development or scaffolding—are all based on assessing what a person currently knows and stretching the person gradually beyond this current state of knowledge. This article sketches the organization-centric work structure at “Organization Bank,” a highly successful U.S. investment bank. In this structure, the bankers' cognitive limits were irrelevant. Bankers were assigned to projects purely based on availability, irrespective of roles and existing knowledge. To complete their tasks, they were not only forced to draw on the organization's resources, including their own skills, but also other people, templates, and technology. The article documents how the participants who experienced these work structures changed fundamentally, both in how they approached tasks and other people and in how they conceived of their selves.

Drawing on data from a two-year ethnography of two U.S. investment banks that also included “People Bank” (Michel and Wortham, forthcoming), the article compares two alternative ways of structuring work and learning—what we call a “people-centric” perspective and an “organization-centric” perspective—examining their consequences for the people and organizations that experience them. It shows that when work and learning are structured in the traditional people-centric way, participants often fail to recognize and listen to the important contribution of social resources and resort more often to their own mental resources. While social resources still matter in such cases, their impact is blunted and distorted by how people put them to use. Since our informants in these structures oriented towards abstractions—general types of situations, pre-established scripts, and typical kinds of people—they often failed to listen to, notice, and use concrete cues for action. When work and learning are structured in the more organization-centric way, informants keenly listened to and used social resources more effectively because their preoccupation with abstractions and their own personal characteristics were cleared away. People could not resort to abstractions, because situational demands usually exceeded what the bankers knew and thus appeared too complex to be forced into pre-existing categories and scripts. One of the article's central tasks is to generate an understanding of these distinct ways in which people can attend to and use the social resources available to them—the different forms of resource involvement—by tracing how these forms evolved over the period of two years. There were two primary research questions:

- (1) How do the two banks structure working and learning differently?
- (2) What are the distinct consequences for the banks' participants?

Our distinction between people-centric and organization-centric ways of attending to tasks illuminates the question of how people can listen, because listening in these two ways has quite distinct results. The examples illustrate similar distinctions made by J. Garrison (in preparation), Haroutunian-Gordon (in press), L. Waks (in preparation), and others. Our examples also show how people not only listen to other people, but also can “listen” to the cues given by task structures and objects, along the lines suggested by accounts of situated



cognition (Hutchins 1999). We argue that listening is not only achieved through personal discipline aimed at self-transformation, but also as a by-product of organizational processes aimed at other goals. One can become a more or less self-involved listener by virtue of participating in distinct types of organizational environments, without intending or explicitly reflecting on these modes of listening.

In sketching answers to our research questions, the first section below reviews the contrasting practices employed in the two banks. The following section describes how these different practices affected the development of the participants, with a focus on their differential ability to listen.

## Reducing uncertainty at People Bank

Both banks faced a changing environment in the late 20th century, which increased the uncertainty of a banker's job, as they had to attend to a wider range of sometimes conflicting economic, legal, cultural, and accounting factors. The two banks responded to this increased uncertainty in different ways. People Bank's work practices tried to reduce uncertainty and simplify banker decision making. Organization Bank's practices tried to amplify uncertainty so that the bankers could notice and use it, as described in the following section.

People Bank reduced uncertainty through an integrated system of plans and roles. One aspect of this system was that top management formulated strategies in the form of general principles and that employees were assigned tasks in accordance with this strategy. For example, when top management introduced a strategic focus on healthcare business, one part of the investment banking division was restructured from a focus on products, such as mergers and acquisitions or corporate finance, to a focus on industry groups, including healthcare. This system influenced the daily work of the bankers, how they were trained, assigned to roles and tasks, and evaluated. Bankers in the healthcare focus group, for instance, were given lists of healthcare companies to call on and specific revenue goals on which they were regularly reviewed and rewarded.

This integrated system reduced uncertainty, because bankers did not need to understand the bank's external environment, or the fit of their transactions with that of bankers in other groups. Each banker only needed to focus on one small piece of the bank's business, such as the list of healthcare companies, and to satisfy a clear standard like an annual revenue goal. This system reduced uncertainty by orienting bankers towards abstractions, toward concepts that applied independently of concrete circumstances. People Bank's system did not allow bankers to make decisions solely with reference to a concrete situation; they were encouraged to judge the appropriateness of a decision based on its consistency with general strategies and goals.

One illustration of the people-centric aspect of this system is that bankers were staffed on projects to match their personal expertise. For example, when the bank received a healthcare sell-side mandate, it staffed bankers with experience in both the healthcare industry and sell-side assignments. This was an important part of the bank's business model, which involved selling the knowledge of individual "superstars." Client presentation books, for instance, highlighted the relevant experience of individual bankers. Also, individual bankers sought to cultivate a public profile by seeking opportunities to speak to the press. They tried to attract the attention of potential clients, who often gave the bank business under the condition that a particular banker works on a deal. This staffing



practice reduced banker uncertainty, because bankers only had to master a relatively limited domain of knowledge.

## Amplifying uncertainty at Organization Bank

People Bank believed that the bank's business was too uncertain for individual bankers to comprehend and navigate. As a solution, it oriented bankers *away from* this uncertainty and towards a limited number of abstract decision making standards. Organization Bank also recognized that its business was highly uncertain. But it made the unusual choice to orient bankers *toward* this uncertainty—thus amplifying it—such that bankers would notice and use it better. Instead of orienting bankers to such abstractions as strategies, roles, and goals, it withheld them. Bankers were not given plans or targets, and they were not referred to as having identities as one kind of expert or another. The bankers consequently made decisions with reference to the concrete details of specific situations. For example, Organization Bank's top management did not design strategies, but executed deals like other bankers. The bank did have strategies, but these were not typical top-down plans that dictated what bankers at lower levels should do. Rather, they were bottom-up and retrospective, emerging from the choices that bankers at lower levels had made in response to noticing market opportunity: "We looked back and noticed: 'Gee, we have a healthcare strategy.'" Instead of telling bankers what to do, the bank guided bankers by continuously making the consequences of their actions salient. For this purpose, bankers received an enormous amount of information on a daily basis, including reports about the revenues they generated, the cost of the resources they used, the time they were allocating to specific types of transactions, and the deals they had lost to competitors. This information deluge contrasted not only to People Bank's practices but also contradicted deeply held tenets of cognitive organization theories, which recommend that organizations should reduce the information that confronts decision-makers and give them interpretation guidelines. In contrast, Organization Bank trusted bankers to react productively to often conflicting imperatives and believed that the person who knows the most concrete detail would make the best decision.

One illustration of Organization Bank's more organization-centric approach is that it staffed bankers purely based on availability versus based on their individual expertise. When clients requested a particular banker to work on a deal, the banker who staffed projects usually said: "Our bankers are fungible." When one Organization Banker went on vacation or was overloaded, other bankers could seamlessly substitute on projects. These unexpected substitutions onto unfamiliar projects were one important source of persistent uncertainty for bankers at all levels. This approach to staffing meant that bankers often had to deal with situations for which they had not yet formed concepts that they could apply, either because they were inexperienced or because the situations were inherently unpredictable. A People Bank VP noted that this was "unthinkable" at People Bank: "It just doesn't work that way. You can't replicate what your colleague knows at the drop of the hat." Also, Organization Bank's client presentations primarily focused on the resources of the bank. They did not make reference to the backgrounds of individual bankers.

In summary, the description of Organization Bank reveals practices that amplified uncertainty and thereby prevented participants from approaching situations with a set of abstract rules and concepts. Due to the absence of such general guidance, newcomers had to attend keenly to the concrete guidance available in particular situations, including task



168 structures, data, technology, and other people. In this more direct involvement, it was not  
169 clear to the participants what the relevant norms and concepts were.

## 170 Participant transformation at People Bank

171 The data show how the work practices in People Bank reinforced in participants what  
172 Heidegger (1962) calls an “abstract attitude.” That attitude appears as the participants’  
173 tendency to approach situations in a deductive manner, oriented relatively more by the  
174 schemas and scripts the organizations made salient and relatively less by the concrete  
175 aspects of particular situations. This attitude prevented participants from listening  
176 attentively to the social resources they need to complete their task.

177 Newcomers at People Bank and Organization Bank behaved in similar ways when they  
178 entered the banks, which is evident that the differences in development described in this  
179 section did not result from selection effects, but instead stemmed from the distinct  
180 organizational practices at the two banks. Each set of newcomers identified strongly with  
181 their bank. They displayed bank paraphernalia in their cube and at home, talked the bank  
182 up to their friends and family, and took criticism of the bank personally. A majority of  
183 them agreed with the statements that “fulfilling my role expectations is at least as  
184 important as fulfilling the expectations of my family” (76% of People Bankers, 71% of  
185 Organization Bankers) and that “I accept the bank’s expectations as my own” (90% of  
186 People Bankers, 93% of Organization Bankers). All bankers also initially experienced task  
187 and identity related uncertainty. They wanted to know what was expected of them on  
188 specific tasks and what kind of person they were going to be in this context, which was  
189 partly determined by the social categories available in the new context. For example, one  
190 People Banker explained:

191 Whenever you are in a new group of people, things sort themselves out. In high  
192 school there were the jocks and the geeks kind of thing. In college, people looked at  
193 each other and thought who was most likely to succeed. ... I am curious what the  
194 groups are here, like you want to know what kind of person you are going to be here.

195 One important practice through which People Bank reduced this uncertainty was assigning  
196 bankers to organizational roles, such as analysts or associates, which were associated with  
197 explicit behavioral expectations and which provided an identity.

198 Over the next two years, the People Bankers developed more elaborate concepts,  
199 behavioral scripts, tastes, and narratives to represent themselves as members of their social  
200 context. During the first six months, bankers learned the meaning of such social concepts,  
201 but were not supposed to apply these concepts to themselves, because they were told that  
202 this was a time of learning. As the bankers integrated the bank’s concepts into their  
203 identity, however, these social standards nonetheless became infused with personal  
204 significance. This personal significance then influenced how bankers interpreted and acted  
205 in situations. For example, bankers often stayed longer than needed at work, to fit in with  
206 the hard-driving work-ethic:

207 When you leave before 10 or 11 [at night], people say things like “Half a day  
208 today?” or “Thanks for stopping by,” making you feel like a slacker. ... And I just  
209 don’t want to be that kind of person. (People Bank analyst)

210 This example illustrates how bankers made decisions based on the desire to be a particular  
211 kind of person. After six months, when the official learning time was over, the bankers’



self-reported stress levels rose from “high” to “extremely high,” revealing the terror they felt at the prospect of failing on standards that they now considered part of their identities. Since these identity standards became so significant to the bankers, and because bankers used them so often to interpret situations, these standards eventually became activated *automatically*—that is, without the bankers’ knowledge or ability to control this activation—even when standards were not relevant to a particular situation. For example, because the People Bankers identified with being experts—which meant that they would give advice to a client based on their superior knowledge—they often did not recognize situations in which the client had superior knowledge. In these situations, the People Bankers sometimes failed to ask questions of the client and acted with confidence on their incorrect assumptions. This evidence indicates that People Bankers most often based their actions on what was relevant to their identities. In doing so they often failed to notice what was relevant to the situations they were acting in. The internalization of social standards resulted in a highly charged, self-oriented psychological situation that prevented the bankers from noticing and acting on cues in a specific social situation. In such examples of *identity induced involvement*, behavior was relatively more determined by a banker’s inner mental resources—their habitual identity schema—and relatively less by available social resources.

### Participant transformation at Organization Bank

The work practices at Organization Bank, in contrast, encouraged in their participants a more immediate or *direct involvement*. In this alternative, more concrete orientation that enhanced participants’ ability to listen, relevant concepts emerged more inductively, from a relatively immediate or direct connection among the organization resources that together produced particular solutions. While participants drew on their prior notions, they also opened themselves to new understandings.

Identity development took place differently at Organization Bank. Like the People Bankers, the Organization Bankers were assigned to roles. But these roles were mere formalities. Role responsibilities were constantly over-ridden by changing task demands and thus neither guided action nor served as a basis for self-definition. In general, the bankers found it difficult to find basic principles of orientation:

I know that this ain’t going to be 8-hour days. But, I mean, can you at least give me some guidelines beyond that? Sometimes people work around the clock for weeks in a row, 7 days a week. But then people also sometimes come to work at 1 pm, go to the gym during all hours of the day, sometimes they don’t show up at all because they just decided that they had been working too hard and are taking a day off, and then there is the Barney’s warehouse sale when people are just out the door and come back later with huge shopping bags, walking right by Joe [the head of the department].

When they asked senior bankers what made a banker successful, they usually heard that it was “task-orientation.” We derived the analytic construct of direct involvement from this task-orientation concept used by our participants. One VP explained that: “Task-orientation means that you do what needs to get done in the way most appropriate to the task at hand.” Task-orientation differed from the general standards at People Bank because it pointed bankers to the needs of specific situations, as opposed to stable abstractions. But the junior Organization Bankers initially misinterpreted task-orientation by judging it with



reference to the banker who displayed this attribute. Their underlying question was: “How will I complete the tasks that are assigned to me?” They tried to use their task performance to demonstrate identity traits to themselves and others. For example, one junior banker worked all night despite severe pneumonia and continued to work while vomiting blood. The banker explained his behavior with a desire to “prove myself and show that I can get the task done.” This behavior, although extreme, was similar to the junior People Bankers who also prioritized identity concerns.

But while the People Bankers persisted in this pattern of behavior throughout our observation period of two years, after about six months the Organization Bankers’ focus shifted to “How will I complete the tasks that are assigned to me?”—emphasizing the “how” instead of the “I.” They moved away from a concern with identity and towards a concern with tasks. At this time, the Organization Bankers’ self-reported stress level dropped from “extremely high” (“these are the most grueling times of my life”) to “high” (“intense but manageable”), reversing the change that we observed in the People Bankers. According to the Organization Bankers, the pivotal experience that reduced their stress level was that they were consistently able to complete the projects that were assigned to them, regardless of their own amount of knowledge and skill, because the bank’s resources complemented their own resources. Whatever one banker did not know, he or she could get from this resource pool.

You know, I eventually figured it out. This is not about me, it’s not about how smart I am. This is about what you can do when you pull extraordinary resources together. I might not know whether the client should sell the business, spin it off, whatever. I might not even be able to do half of the analyses that I am responsible for. But I can still get it done and get it done well every single time because of the resources here.

Different bankers had the same insight because the bank’s organizational processes facilitated this particular insight. The bank did so not by circulating norms, rules, and shared understandings and encouraging internalization—which is how culture normally operates—but by *blocking* norms and rules, by foregrounding uncertainty, and not letting junior bankers develop stable scripts and identities.

Once they achieved this insight, Organization Bankers approached situations differently. For example, they paid careful attention in meetings to match what the client’s needs with the most suitable organizational resources:

Before, I used to have this knot in my stomach in each and every meeting because I was just waiting for someone to ask me something that I was clueless about and worrying about what to say and about losing credibility....Now these are the moments I live for....I ask tons of questions...then I literally say it flat out: I don’t have the answer for you right now. But we’ll get our heads together and make sure you get the best advice possible.

This quote shows that the Organization Bankers continued to experience high-task uncertainty (“I don’t have the answer”) but that their attitude towards this uncertainty had changed. While they previously disguised their lack of knowledge to protect their identities as competent bankers, they subsequently used it as a cue to guide data collection (“I ask tons of questions”). They had to listen attentively in order to identify the relevant organizational resources. In contrast, the People Bankers usually completed many different analyses before a meeting and spent the meeting giving advice, as opposed to asking questions and listening. They avoided admitting incomplete knowledge, explaining their



behavior with comments like: “I am supposed to be the expert. That’s why they pay me the big bucks.”

As the Organization Bankers’ focus shifted from a preoccupation with their identities to an orientation toward the task, their identity-related statements and actions changed, too. For example, after about six months Organization Bankers had more difficulty responding to ongoing questions about banker identity, such as “How would you describe your self or your identity?” While the People Bankers continued to respond to such questions immediately and with great elaboration, the otherwise eloquent Organization Bankers started stuttering, eventually saying something like “I just don’t think about these things that much.” This sort of response is difficult to explain given the existing literature. Since people use their identities consistently for self-regulation (Carver and Scheier 1981) and because schemas that are used more frequently are more cognitively accessible (Bargh 1989; Higgins and King 1981), it should have been easier over time for the Organization Bankers to talk about their identities. The bankers also started to refer to themselves as “resources.” According to existing theories, an identity is an attribute of a person that it is stable across situations. In contrast, a resource cannot be defined apart from the particular situation to which it contributes. We found that the Organization Bankers came to conceive of themselves in a fundamentally different way—not as a biologically or psychologically bounded entity that can be classified via abstract categories but as one aspect of a larger process. The situation-specific attributes of this process, not the situation-independent attributes of a banker identity, determined what the banker did. The bankers thus enacted “self” more as a process of contributing—a kind of doing—instead of as a stable way of being. For example, in sharp contrast to the People Bankers, the Organization Bankers over time became *less* likely to act as socially recognizable kinds of people. After about six months, the Organization Bankers were less likely to supply general identity scripts to situations and more likely to display “new” behaviors that were called forth by the concrete attributes of particular situations—a sensitivity to the concrete that they refined over time.

## Conclusions and discussion

In this brief article we have only been able to give a flavor of the difference between People Bank and Organization Bank. Our larger work (Michel and Wortham, forthcoming) provides more detail on the banks and on two sets of classrooms, in which similar people- and organization-centric learning processes could be observed. But this brief sketch suffices to show how opening oneself to the situation and backgrounding one’s identity and habitual ways of thought can be a more productive form of listening, learning, and problem solving. We have also sketched how Organization Bank socialized newcomers into this alternative mode of listening and learning—by augmenting uncertainty and withholding stable identity categories. This strategy creates significant anxiety initially, as newcomers struggle to determine relevant categories in the way that they have always done. But after several months, most learn to approach tasks through more direct involvement, sensitive to the resources of the situation instead of oriented by stable pre-existing categories.

The article hints at a theme that is prominent in our larger data set. It shows that when individuals listen to the cues provided by a broad range of organizational resources—including other people but also objects and reports—they thereby interconnect the organization’s resources to achieve a more collective form of cognition described by



Hutchins (1999), Sandelands and Stablein, (1987); Tyre and von Hippel (1997); and Tsoukas (1996), among others. More complex cognitive systems are better able to understand and adapt to complex environments (Weick and Roberts 1993). When individuals fail to listen to such cues, the organization's resources remain unconnected and are reduced to the more limited capacity of the individual mind. It is, therefore, important to go beyond the study of listening as an interpersonal phenomenon.

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